

According to NBE, one USD is purchased by 54 ETB. This price quote is most likely

- A. Nominal exchange rate
- B. Real exchange rate
- C. Effective exchange rate
- D. Real effective exchange rate

Answer: A

----- refers to a type of contract to exchange a currency for another at a fixed exchange rate on a specific date in the future.

- A. Currency swap
- B. Forward exchange rate
- C. Exchange rate arbitrage
- D. Foreign exchange futures

Answer: D

Assume the exchange rate between ETB and \$ ($EETB/\$$) = 50, and Euro per \$ $E(\$/\text{€}) = 0.8$. then the exchange rate between ETB and Euro ($EETB/\text{€}$) is

- A. 40
- B. 0.016
- C. 16
- D. 62.5

Answer: D

One of the following is wrong given that interest parity condition between Ethiopia and Kenya holds

- A. Rise in the domestic (Ethiopia) money supply will raise the Birr rate of return on shilling deposit in the short run.
- B. The value of ETB will depreciate as rate of return on shilling deposit rises
- C. Rise in the expected exchange rate ($E_{etb/shilg}$) will cause capital to move from Ethiopia to Kenya in the short run
- D. Increase in money supply in Kenya will cause ETB to appreciate.

Answer: A

In Balance of Payment transaction, one of the following is recorded as a credit balance

- A. Long term capitals coming in
- B. Payments to foreigners in the form of wage
- C. Increase in reserve
- D. Goods imported

Answer: A

Which one of the following is not part of capital account?

- A. Foreign borrowings
- B. Portfolio investment
- C. Unilateral receipts
- D. Purchase of foreign bond

Answer: C

Of the following, one is true provided that domestic Saving (S) is greater than investment (I). It results in:

- A. CA surplus and capital out-flow
- B. CA surplus and capital in-flow
- C. CA deficit and capital out-flow
- D. CA deficit and capital in-flow

Answer: A

As per the assumptions of monetary approach of BOP adjustment, devaluation of domestic currency results in all of the following outcomes, Except:

- A. Rise in domestic price
- B. Rise in output level
- C. Rise in central bank's reserve
- D. Rise in money supply

Answer: B

Which one of the following orderings is correct concerning the effects of expansionary fiscal policy under fixed exchange rate regime and perfect capital mobility?

- I. Rise in money supply and the resulting forward shift in the LM curve
 - II. Forward shift in the IS curve and associated rise in income
 - III. Short-term rise in interest rate and associated capital inflow
 - IV. Creation of new equilibrium with higher income level
- A. II, I, III, and IV
 - B. II, III, I, and IV
 - C. I, III, II, and IV
 - D. II, III, IV, and I

Answer: B

High interconnectedness of countries in the world resulting from globalization has pushed countries to look for macroeconomic policy coordination. This policy is opted primarily to minimize

- A. Unplanned rise or fall of import demand
- B. Unexpected inflation pressure following expansionary monetary policy at home
- C. Unanticipated rise or fall of unemployment following expansionary policy abroad
- D. Unanticipated capital in- or out-flow following policy measures both at home and abroad

Answer: D

Among the following policy mixes, one is completely ineffective in influencing output and employment irrespective of the degree of capital mobility.

- A. Fiscal policy under floating exchange rate regime
- B. Fiscal policy under fixed exchange rate regime
- C. Monetary policy under floating exchange rate regime
- D. Monetary policy under fixed exchange rate regime

Answer: D

Under ceteris paribus assumption, which one of the following will result in current account surplus?

- A. When injection is greater than leakage
- B. When domestic absorption is greater than national income
- C. When total exports are less than total imports
- D. When national saving is greater than investment

Answer: D

For any small open economy, the reasonable policy should be

- A. Fiscal policy given that it follows floating exchange rate regime
- B. Monetary policy given that it follows fixed exchange rate regime
- C. Monetary policy given that it follows floating exchange rate regime
- D. All of the above.

Answer: C

As per the J-curve approach, following devaluation CA will,

- A. Improve immediately and deteriorate later
- B. Deteriorate immediately and improve later
- C. Deteriorate both in the long and short run
- D. Improve both in the short and long run

Answer: B

One of the following is not part of Bretton Woods Agreement

- A. The agreement set up a system of fixed exchange rates where other currencies were pegged to the U.S. dollar, which was in turn pegged to gold at \$35 an ounce
- B. The agreement led to the formation of the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD), now part of the World Bank Group.
- C. The British Pound was established as the central reserve currency, irrespective of the fact that the United States held the majority of the world's gold reserves at that time.
- D. Countries were required to maintain the convertibility of their currencies into U.S. dollars within 1% of the established parity rates

Answer: C

One of the following is not the obstacles in ensuring macroeconomic policy coordination

- A. Lack of agreement on the need for avoiding competitive devaluation
- B. Lack of common consensus on how the international monetary system works
- C. Lack of agreement among countries on the right policy mixes
- D. Lack of agreement on how the payoffs from coordination can be distributed among nations

Answer: A

According to New Keynesian Economics, what is a key factor influencing Economic output and Employment?

- A. Inflation
- B. Consumer confidence
- C. Aggregate demand
- D. Money supply

Answer: D

Which of the following statement is true regarding the difference between GDP and GNP, GDP is:

- A. Excludes income earned by foreign residents within the country
- B. Only includes government spending
- C. Includes income earned by foreign residents within the country
- D. Includes income earned by foreign residents within the country and abroad

Answer: C

What is the purpose of including imputed values in GDP calculations in national income accounting?

- A. To inflate the GDP value artificially
- B. To accurately reflect the value of goods and services not sold in the marketplace
- C. To exclude non-market transactions from GDP
- D. To reduce the overall GDP value

Answer: B

Assume that in a small open economy with a floating exchange rate, the real money balances supply remains constant. Then, An increase in government spending results in:

- A. An increase in the interest rate, causing net exports to decrease to maintain equilibrium in the goods market.
- B. No change in the interest rate, resulting in net exports needing to decrease to maintain equilibrium in the goods market.
- C. No change in the interest rate, necessitating income to rise to maintain equilibrium in the money market.
- D. An increase in the interest rate, requiring income to rise to maintain balance in the money market.

Answer: A

How does a fiscal expansion affect the exchange rate in the Mundell-Fleming model under floating exchange rates?

- A. Lowers the exchange rate, but a monetary expansion raises it.
- B. Raises the exchange rate, but a monetary expansion or an import restriction lowers it.
- C. An import restriction lowers the exchange rate, but a monetary expansion raises it.
- D. An import restriction raises the exchange rate, but a monetary expansion lowers it

Answer: B

Suppose that there is an excess supply in the goods market to the right of the IS curve. Then, what is the necessary action to restore equilibrium?

- A. Increase interest rate
- B. Decrease income
- C. Increase income
- D. Decrease interest rate

Answer: D

According to the misperceptions model of aggregate supply, firms may mistakenly interpret changes in the overall price level as changes in:

- A. Real GDP
- B. Nominal wages
- C. Relative prices
- D. Aggregate demand

Answer: C

Which model of aggregate supply is characterized by a vertical long-run aggregate supply curve?

- A. Sticky-wage model
- B. Sticky-price model
- C. Misperceptions model
- D. Classical model

Answer: D

Which of the following best summarizes the main challenge highlighted by the anomalies in consumption behavior within the framework of Keynesian Economics?

- A. The secular stagnation hypothesis predicted a long depression due to increased saving rates, which did not occur after World War II.
- B. Simon Kuznets found that the ratio of consumption to income remained stable over long periods, contradicting Keynes's prediction of decreasing consumption with rising incomes.
- C. The existence of two consumption functions, one reflecting short-term behavior and another showing long-term stability, presented a puzzle for economists.
- D. All of the above.

Answer: D

How did firms respond to the high real interest rates in the 1980s in terms of inventory management?

- A. They increased their inventory holdings
- B. They adopted a principle of just-in-time production plans to reduce inventory
- C. They relied more on bank loans to finance inventory purchases
- D. They diversified their inventory investments

Answer: B

Why do firms cut back on inventory investment when credit conditions are tight?

- A. To increase production efficiency
- B. To reduce costs
- C. To avoid stock-outs
- D. Due to difficulty in obtaining bank loan

Answer: D

According to the life-cycle hypothesis of consumption theory, which of the following is true about the relationship between age and consumption behavior?

- A. Consumption tends to be higher at younger ages and lower at older ages
- B. Consumption tends to be lower at younger ages and higher at older ages
- C. Consumption remains constant throughout a person's life
- D. Consumption fluctuates randomly with age

Answer: A

Suppose that the central bank conducts an open market operation to increase the money supply in economy. How will this expansionary monetary policy affect interest rates in the short run and long run?

- A. Interest rates will decrease in the short run and increase in the long run.
- B. Interest rates will increase in the short run and decrease in the long run.
- C. Interest rates will decrease in both the short run and long run.
- D. Interest rates will increase in both the short run and long run

Answer: A

From the following which type of unemployment arises from real wage rigidity, where the labor market fails to adjust to equilibrium, the point at which demand for and supply of labor are equal?

- A. Structural unemployment
- B. Frictionally unemployment
- C. Seasonal unemployment
- D. Cyclical unemployment

Answer: A

According to the Harrod-Domar growth model, what is the key driver of economic growth?

- A. Technological progress

- B. Population growth
- C. Investment
- D. Government spending

Answer: C

In the neoclassical growth model, what is the primary source of long-term economic growth?

- A. Technological progress
- B. Population growth
- C. Investment in physical capital
- D. Government spending

Answer: C

Which of the following statements is true regarding the substitution effect and the income effect?

- A. The substitution effect always outweighs the income effect
- B. The income effect always outweighs the substitution effect
- C. The relative strength of the substitution and income effects is determined by the price elasticity of demand
- D. The relative strength of the substitution and income effects is determined by the price elasticity of supply

Answer: C

What is the income effect?

- A. When the price of a good change, causing a change in the quantity demanded of that good
- B. When the price of a good change, causing a change in the quantity supplied of that good
- C. When an increase in income causes an increase in the quantity demanded of a good, *ceteris paribus*
- D. When a decrease in income causes a decrease in the quantity demanded of a good, *ceteris paribus*

Answer: C

How could a consumer's income and substitution effects lead to an increase in the demand for a good that has decreased in price?

- A. The income effect causes the consumer to have more income to spend on the good, while the substitution effect causes the good to become relatively cheaper compared to other goods
- B. The income effect causes the consumer to have less income to spend on the good, while the substitution effect causes the good to become relatively cheaper compared to other goods
- C. The income effect causes the consumer to have more income to spend on other goods, while the substitution effect causes the good to become relatively more expensive compared to other goods
- D. The income effect causes the consumer to have less income to spend on other goods, while the substitution effect causes the good to become relatively more expensive compared to other goods.

Answer: A

What is the main difference between Marshallian demand and Hicksian demand?

- A. Marshallian demand assumes fixed income, while Hicksian demand allows for changes in income
- B. Marshallian demand is based on observed behavior, while Hicksian demand is based on revealed preferences
- C. Marshallian demand considers only substitution effects, while Hicksian demand considers both substitution and income effects
- D. Marshallian demand is a short-run concept, while Hicksian demand is a long-run concept

Answer: C

What is meant by revealed preferences in microeconomics?

- A. Preferences that are explicitly stated by consumers
- B. Preferences that are inferred from observed behaviour
- C. Preferences that are regulated by the government
- D. Preferences that are determined by social norms

Answer: B

How does the concept of revealed preferences relate to the law of demand?

- A. The law of demand states that as the price of a good increases, the quantity demanded decreases, while revealed preferences observe consumers' behavior and infer their preferences
- B. Revealed preferences explain why consumers demand more of a good when its price decreases, while the law of demand is a mathematical representation of consumer behavior
- C. Revealed preferences are an exception to the law of demand, as they show that consumers may demand more of a good as its price increases
- D. The law of demand and revealed preferences are two different concepts that do not relate to each other

Answer: A

Which of the following is an example of a non-systematic risk?

- A. A company's chief executive resigns unexpectedly
- B. The price of crude oil increases due to geopolitical tensions
- C. An unexpected earthquake damages a factory
- D. The entire stock market experiences a downturn

Answer: A

Which of the following statements about long-run costs is true?

- A. Long-run costs are costs that vary with the level of output
- B. Long-run costs are fixed costs
- C. Long-run costs are costs that do not vary with the level of output
- D. Long-run costs are incurred only in the short run

Answer: C

Which of the following is a reason why firms might be willing to accept supernormal profits in a monopolistically competitive market?

- A. They can use the profits to pay off arrears
- B. They can use the profits to invest in advertising and branding
- C. They can use the profits to pay employees higher salaries
- D. They cannot avoid earning supernormal profits due to the nature of the market

Answer: B

Which of the following is an example of first-degree price discrimination?

- A. A store offering discounts to customers who sign up for a loyalty program
- B. A car rental company charging different rates based on the length of the rental
- C. A sports team charging higher prices for tickets on weekends than on weekdays
- D. A doctor charging different prices for different treatments based on the patient's income

Answer: D

Which one is the correct link of project process?

- A. Policy -- Programs --- Plans --- Projects --- Outcomes
- B. Plans -- Policy --- Programs --- Projects --- Outcomes
- C. Policy -- Plans --- Programs --- Projects --- Outcomes
- D. Policy -- Plans --- Projects --- Programs --- Outcomes

Answer: C

Which one of the following is an Investment phase?

- A. Negotiating and contracting
- B. Pre-selection and support
- C. Erection and installation
- D. Pre-production marketing

Answer: B

Which of the following is wrong about output-capital ratio?

- A. It measures capital efficiency
- B. Labor cost is not part of it
- C. It does not consider the timely spread of costs and proceeds
- D. It discounts future value of benefits and costs

Answer: D

Comparison of net benefits of a project at different discount rates is:

- A. Sensitivity analysis
- B. Compounding
- C. Discounting
- D. Contingent valuation

Answer: A

Which of the following is not limitation of NPV?

- A. The selection of an appropriate discount rate
- B. It does not show the exact profitability rate of the project
- C. It might lead implementer in to dilemma for alternative projects
- D. It assumes different type and degree of risk for both costs and benefits

Answer: D

Which one of the following statements is true?

- A. An increase in project scope is likely to increase project cost
- B. A decrease in the project time is likely to increase project quality
- C. An increase in the project quality requirements is likely to decrease project cost
- D. A decrease in the project cost is likely to decrease project time

Answer: A

Which of the following is the price given for the delivery of the Cargo to the port of loading?

- A. Ex works
- B. Free on Board
- C. Delivered at place
- D. Cost Insurance & Freight

Answer: B

Which one of the following is true?

- A. If FOB prices are less than market prices, importation is barred
- B. Non-tradable goods are that enter into the global trade because of their nature
- C. If FOB prices are less than market prices, exportation is precluded
- D. If CIF is greater than market prices exportation is precluded

Answer: C

What is called the process of determining the value or worth of physical property for specific reasons?

- A. Valuation
- B. Investment
- C. Economy
- D. Deprecation

Answer: A

In the ex-ante project evaluation:

- A. Relevance can be examined based on the actual situation
- B. Long-term strategies can be established
- C. Effective project strategies
- D. Appropriate implementation can be selected

Answer: A

When the government wants to build a highway that cuts across the property of many owners, the economic justification for eminent domain is:

- A. Compensates land owners for the value of their property.
- B. Overcomes high transaction costs caused by potential hold out problems
- C. Reduces the incentive of property owners to make inefficient investments
- D. Reduces the information costs that arise when the government doesn't appreciate land owners' subjective value of land

Answer: B

Which statement is true about economic growth and economic development?

- A. Economic growth measures improvements in the quality of life and living standards, while economic development measures increases in GDP.
- B. Economic development measures improvements in the quality of life and living standards, while economic growth measures increases in GDP.
- C. Economic growth is a part of economic development, which encompasses both increases in GDP and improvements in living standards.
- D. Economic development is a part of economic growth, which only includes increases in GDP.

Answer: B

Which one of the following signifies a common feature of less developed countries

- A. Interdependence on international relations
- B. Low level of living
- C. Natural resource endowment
- D. Structure of the economy

Answer: B

Which one of the following is a linear stage economy model?

- A. The Solow growth model
- B. The Lewis model
- C. The Rostow model
- D. The New Growth Theory

Answer: C

Which of the following best describes the concept of sustainable development?

- A. Development that meets the needs of the present without compromising the ability of future generations to meet their own needs.
- B. Development that focuses on economic growth income inequality and poverty reduction at all costs.
- C. Development that focuses on the needs of the wealthy.
- D. Development that focuses specially on the needs of the poor.

Answer: A

According to the Harrod-Domar model, a decrease in capital output ratio will lead to:

- A. A decrease in the rate of economic growth.
- B. An increase in the rate of economic growth.
- C. No change in the rate of economic growth.
- D. A decrease in the rate of inflation

Answer: B

Which one of the following is a dual economy model?

- A. The Solow growth model
- B. The Lewis model
- C. The Rostow model
- D. The New Growth Theory

Answer: B

If the distribution of income in country C is (1, 2, 2, 3, 5) and the poverty line is 2.5, the headcount measure tells us what percentage of the population is in poverty.

- A. 40
- B. 3
- C. 2
- D. 60

Answer: D

One of the following is not non-economic factors of development

- A. Institutions
- B. Social capital
- C. Types of government
- D. None of the above

Answer: D

Which of the following is an effect of rapid population growth on economic development?

- A. An increase in per capita income and productivity
- B. An increase in the availability of natural resources
- C. A decrease in the size of the labor force
- D. An increase in demand for basic necessities such as food and housing

Answer: D

Which of the following is a potential challenge associated with investing in human capital for economic development?

- A. An increase in income inequality and poverty
- B. A decrease in the demand for goods and services
- C. A decrease in the level of foreign direct investment
- D. A long-term time lag between investing in education and seeing economic benefits

Answer: D

Which of the following is a potential consequence of rural-urban migration according to the Todaro model?

- A. An increase in the availability of public goods and services in urban areas
- B. A decrease in the size of the rural labor force
- C. A decrease in urban unemployment and underemployment
- D. An increase in urban informal employment and poverty

Answer: D

Which of the following is a potential solution to the problem of low agricultural productivity and economic growth?

- A. A decrease in public expenditures on agricultural research and development
- B. An increase in the level of urbanization and industrialization
- C. An increase in private sector investment and market-oriented reforms
- D. A decrease in the availability of natural resources in rural areas

Answer: C

Which of the following is a potential consequence of import substitution policies on economic development in developing countries?

- A. A decrease in the level of industrialization and technological progress
- B. An increase in the level of foreign direct investment and access to new markets
- C. An increase in the level of social cohesion and community development
- D. A decrease in the availability of public goods and services

Answer: A

Which of the following is a potential consequence of debt accumulation for economic development in developing countries?

- A. An increase in the level of foreign direct investment and access to new markets
- B. A decrease in the level of social welfare and public goods provision
- C. A decrease in the level of economic growth and technological progress
- D. An increase in the level of domestic savings and investment

Answer: C

Which of the following is a potential benefit of export promotion policies for economic development in developing countries?

- A. An increase in the level of import dependency and trade deficits

- B. A decrease in the level of private sector investment and market-oriented Reforms
- C. An increase in the level of technological progress and innovation
- D. A decrease in the level of political stability and social welfare provision

Answer: C

Which one of the following best describes the relationship between supply of educational quality, educational quantity, and employment in developing countries?

- A. Demand for education and employment is economically motivated while supplies of education is politically responsive
- B. Market supply of education is led by market demand for education
- C. economically motivated supply of education faces politically responsive demand for education
- D. Market demand for education is led by market supply of education

Answer: A

If the absolute value of your calculated t-statistic exceeds the critical value you can:

- A. Reject the alternative hypothesis.
- B. Conclude that, variances of X's are too low.
- C. Conclude that, most of the actual values are very close to the regression line.
- D. Conclude that, the unexplained variation of the model is low.

Answer: D

Which one of the following is **wrong** about deterministic relationship between X and Y?

- A. It is concerned with systematic and definite outcome.
- B. If plotted on X-Y plane all points fall on straight line.
- C. Given the values of X, then Y is always the same.
- D. It is the true relationship between X and Y.

Answer: D

In multiple linear regression model, when the null hypothesis, $H_0: \beta_1 = \beta_2 = \beta_3 = 0$, is rejected, the interpretation should be:

- A. There is no linear relationship between y and any of the three independent variables.
- B. There is a regression between y and at least one of the three independent variables.
- C. All three independent variables have non-zero slopes.
- D. There is a regression relationship between y and all three independent variables.

Answer: B

The least squares regression line minimizes the sum of the:

- A. Absolute deviations between actual and predicted Y values
- B. Absolute deviations between actual and predicted X values
- C. Squared differences between actual and predicted Y values
- D. Squared differences between actual and predicted X values

Answer: C

Based on the following information respond to question from no four questions

Suppose that a researcher estimates a consumption function and obtains the following results from a sample of 20 observations corresponding to the regression model

$$Y_i = \alpha + \beta X_i + U_i$$

Where Y_i is consumption of 20 consumers and X_i is disposable income, U_i is normally and independently distributed with zero mean and constant variance, yielded the following sums,

$$\begin{aligned}\sum Y_i &= 21.9 & \sum (Y_i - \bar{Y})^2 &= 86.9 \\ \sum (X_i - \bar{X})(Y_i - \bar{Y}) &= 106.4 & \sum (X_i - \bar{X})^2 &= 215.4 \\ \sum X_i &= 186.2\end{aligned}$$

From the given information the coefficients of the dependent variable (β) and intercept term (α) equals to _____ and _____ respectively.

A. -0.685 and 3.505

C. 0.494 and -3.505

B. 0.412 and -4.589

D. 0.854 and 3.0125

Answer: C

The interpretation of coefficients of the dependent variable (β) is

A. The value of disposable income when it is increased by 1 unit, ceteris paribus

B. The value of consumption when disposable income is increased by 1 unit

C. The value of disposable income when consumption is increased by 1 unit

D. The value of consumption when disposable income is increased by 1 unit, ceteris paribus

Answer: D

Assume that in the above regression of consumption function an individual earning 11,305 consumes, holding other factors constant:

A. 5,581.165

C. 9,067.235

B. 5,921.021

D. 4,987.254

Answer: A

What is the value of coefficient of determination R^2 ?

A. 0.58

C. 0.49

B. 0.84

D. 0.60

Answer: D |

Which of the following is a consequence of multicollinearity in regression analysis?

- A) Biased coefficient estimates
- B) Overly precise coefficient estimates
- C) Lower explanatory power of the model
- D) Larger standard errors of the coefficient estimates

Answer: D

What is the adjusted R-squared in multiple linear regression?

- A) A measure of the proportion of the variation in the dependent variable that explained by independent variables in the model.
- B) A measure of the goodness-of-fit of the regression model.
- C) A measure of the effect size of the independent variables on the dependent variable.
- D) A modified version of the R-squared that accounts for the number of independent variables in the model.

Answer:D

Which one of the following are **not** the methods of testing heteroscedasticity?

- A) Scatter plot
- B) Park test
- C) Glejser test
- D) DW test

Answer: D

Why we use dummy variables in regression analysis? It is because:

- A. They capture the effect of quantitative variables in regression.
- B. They are instrumental to classify data into mutually inclusive categories.
- C. They account for non-linear relationships between variables.
- D. To estimate the effects of a categorical variable in the model.

Answer: D

Which one of the following is **not** the shortcoming of linear probability model (LPM)?

- A. LPM assumes that the probability of the dependent variable equaling 1 is linearly related to explanatory variable
- B. The predicted probabilities ($P = \beta_1 + \beta_2 X$) found between 0 and 1.
- C. The error term in the LPM is heteroscedastic
- D. The usual assumption that the error term is normally distributed cannot hold.

Answer: B

In econometrics, simultaneity arises when:

- A. Strictly exogenous explanatory variables determine the dependent variable through a step-by-step process.
- B. The error term is correlated with both the dependent variable and explanatory variables.
- C. One or more of the explanatory variables is jointly determined with the dependent variable.

D. There is measurement error in explanatory variable.

Answer: C

Which one of the following is correct about simultaneous equation modeling?

- A. A model is said to be identified only when it is in a unique statistical form
- B. In case of order condition for an equation to be identified, variables included must be equal to or greater than the number of equations less one.
- C. In case of Rank Condition to be identified if it is possible to construct at most one non-zero determinant.
- D. Order condition is the sufficient but not necessary condition for identification.

Answer: A

Which one of the following is a false statement?

- A. Parameters of the structural model give only the direct effect of each regressor on the regressand.
- B. Parameters of the reduced form models measure the total effect (direct and indirect) of a change in exogenous variables on the endogenous variable.
- C. In simultaneous equations the problem of identification is a problem of model estimation.
- D. A model is said to be identified when it is formed by algebraic manipulations of the other equations of the system.

Answer: C

What is the consequence of not addressing simultaneity bias in a regression analysis?

- A. The regression results are more precise
- B. The regression results may be biased and inconsistent
- C. The regression results are less likely to conform to the underlying causal relationship
- D. The regression results become more generalizable to the population

Answer: D

Which one of the following is **true** regarding stationary stochastic process?

- A. Stationary timeseries will have a time- varying mean or variance.
- B. If a timeseries is stationary, we study its behavior only for study time period.
- C. The classic example of stationary timeseries is Random Walk model.
- D. Stationary time series will return to its mean and will have a broadly constant amplitude.

Answer: D

Which one of the following is **wrong** about cointegration of a timeseries data?

- A. Two variables will be cointegrated if they have a long-term relationship between them.
- B. Cointegrated variables, despite following individual trends, will not drift far apart.
- C. All integrated of the same order variables are cointegrated.
- D. Cointegrated variables may be in disequilibrium in the short run.

Answer: C

Which one of the following is **wrong** about error correction mechanism (ECM)?

- A. If the equilibrium error is zero, then the model is out of equilibrium.
- B. The absolute value equilibrium error determines the speed of adjustment.
- C. ECM is a means of reconciling the short run behavior with its long run behavior.
- D. If ECM is zero, it suggests that Y_t adjusts to change in X_t in the same period.

Answer: A

Which of the following is a characteristic of panel data?

- A. Observations are made on the different individuals or units over time.
- B. They contain both cross-sectional and time-series variation.
- C. More variability and collinearity among regressors.
- D. With panel data, we can't control for individual heterogeneity.

Answer: B

What is the within-variation in the fixed effects regression?

- A. It captures the variation between individuals over time.
- B. It captures the variation within individuals over time.
- C. It is the fixed effect for each individual in the panel.
- D. It is the random effect for each individual in the panel.

Answer: B

All of the followings are the definition of international economics except

- A. study of transnational forces that influence the domestic economy
- B. study of exchange of goods and services between different nations
- C. study of economic independence among nations
- D. analyzes the flow of goods, services, and payments between a nation

Answer: C

Which of the following statements would a mercantilist not agree with?

- A. Imports are desirable
- B. Trade is a zero-sum activity
- C. The purpose of trade is to amass revenues from exports
- D. Policies should promote exports and discourage imports

Answer: A

When a nation achieves autarky equilibrium:

- A. Input price equals final product price
- B. Labor productivity equals the wage rate
- C. Imports equal exports
- D. Production equals consumption

Answer: D

While import tariffs and import quotas can both be used to protect domestic producers, the import quota is the more effective policy when the policy goal is:

- A. To protect domestic producers from declines in the world price
- B. To minimize the inefficiency of the trade barrier
- C. To raise government revenue
- D. To protect producers from declines in the domestic demand

Answer: A

One difference between a tariff and a quota that both limit imports to the same quantity is that:

- A. Quota gives more encouragement to domestic producer to become more competitive than
- B. the tariff
- C. Quota raises the price by less than the tariff
- D. Quota generates more revenue for the government than the tariff
- E. Tariff generates tax revenue and quota does not

Answer: D

Globalization has led to increase:

- A. employment opportunities among nations
- B. international economic competition among nations
- C. standardization of international economic laws and policies
- D. all

Answer: D

All of the followings are form of economic integration except

- A. free trade are
- B. economic union
- C. stimulus to investment
- D. common market

Answer: C

The commercial policy of discriminately reducing barriers to trade between select group of countries.

- A. collective action
- B. globalization
- C. economic integration
- D. economies of scale in production

Answer: C

The monopoly nature of monopolistically competitive market arises from

- A. existence of close substitution of products
- B. existence of differentiated products
- C. existence of large number of sellers
- D. existence of homogenous products

Answer: B

One of the following is wrong about monopolistically competitive market:

- A. firms have monopoly power over their specific product

- B. firms faced more elastic demand curve than pure monopoly.
- C. in the long run firms may obtain abnormal profits
- D. products are heterogeneous.

Answer: C

Bertrand's duopoly model is different from Cournot's in that;

- A. It shows oligopolistic firms competition when firms don't enter in to collusive agreement.
- B. It assumes two firms producing homogenous products.
- C. Each firm makes their decision on the assumption that its competitor will not change the output it supplies.
- D. each firm makes their decision on the assumption that its competitor will not change the price of the product

Answer: D

Which of the following shows a coordinated behavior of oligopolists where one firm sets the price and the others follow?

- A. cartels
- B. price leadership
- C. market sharing
- D. quota

Answer: B

The basic rationale behind back-ward bending supply curve is:

- A. in the short run individuals prefer to work more hour than leisure
- B. higher wage rate induces individuals to decrease work hour than previous
- C. decline in wage rate induces individuals to decrease work hours
- D. in the long run individuals prefer more leisure than work hour

Answer: B

In which of the following market structure(s) a firm may face a horizontal supply curve for an input?

- A. monopoly
- B. monopsony
- C. perfect competition
- D. A and C

Answer: D

Which of the following one is wrong?

- A. Public goods are goods that are excludable and rival
- B. In the presence of externalities, market prices do not reflect the activities of either producers or consumers
- C. Adverse selection occurs when there is hidden information problem in the one side of the market

D. Moral hazard refers to a situation where one side of the market cannot observe the action of the other

Answer: A